

ORACLE

Order Management & Fulfillment

Advanced Fulfillment – Drop Ship

SCM Cloud Implementation Workshop



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Agenda

- **Overview of Drop Ship**
- Application Setups and Demo
- Implementation Considerations/Tips

Requirement Overview

Functional Scope

- Vision has implemented a full suite of Oracle offerings including HCM, Financials, SCM and CX Cloud.
- Vision has complex requirements across process areas and is requesting the implementation partner to help them with support needed for successful implementation.



Vision Corporation has a strong presence in US, UK and APAC regions with active presence in other countries as well.

They have a diversified portfolio of products like hardware, software, computers and accessories manufactured in house, and procured through suppliers as well.

Key Features Requested

- Vision has a large customer base and allows order capture through various modes.
- Vision uses various fulfillment processes to increase the customer satisfaction along with improved margins.
- Vision uses back-to-back, drop shipments, internal material transfers, consigned inventory and contract manufacturing techniques for some of the products it sells.

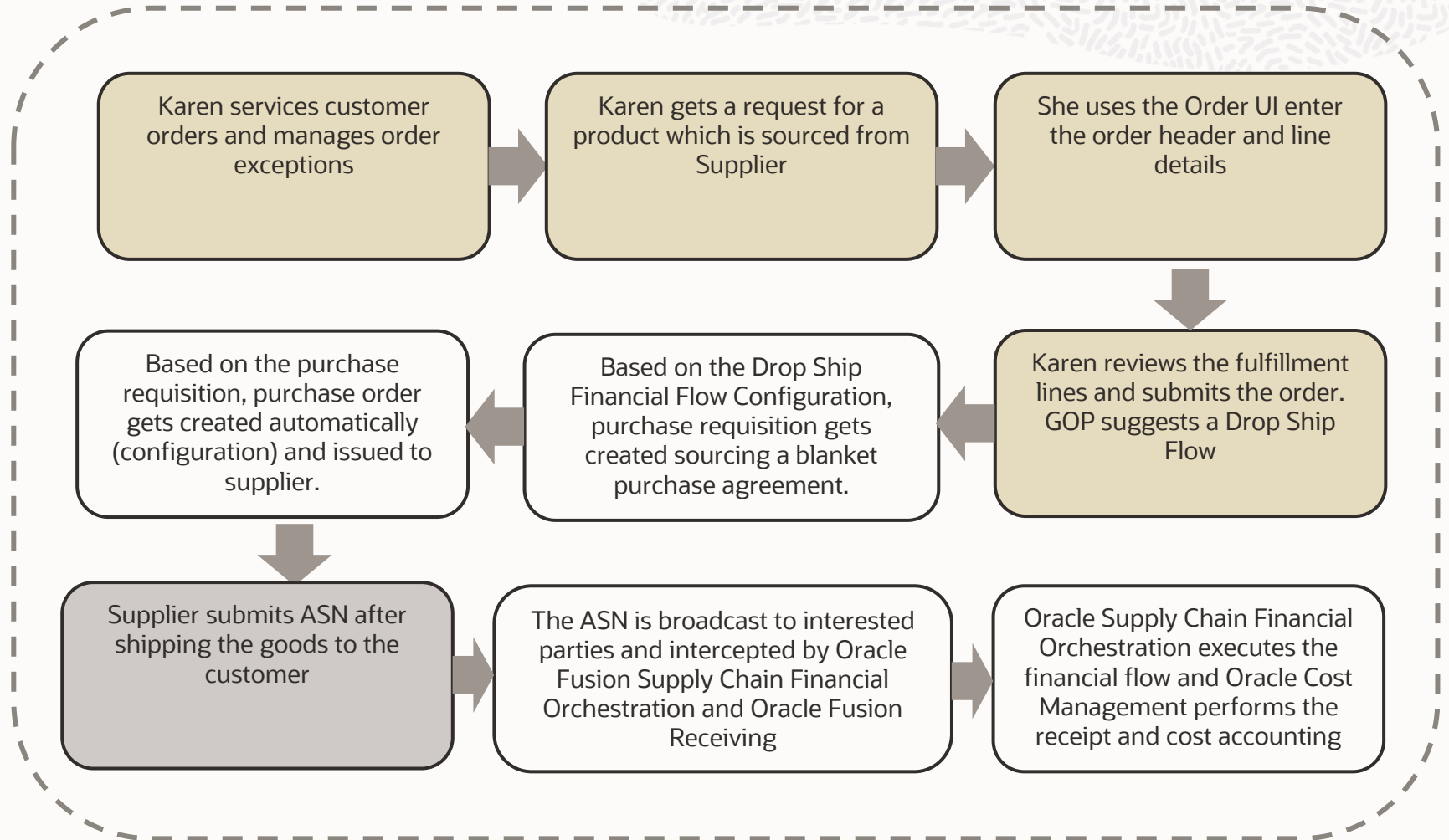
Drop Ship Order Flow



Karen is a customer service representative who creates and configures customer orders.



Lars Swensen is part of Supplier's Organization and he uses supplier portal to submit ASN



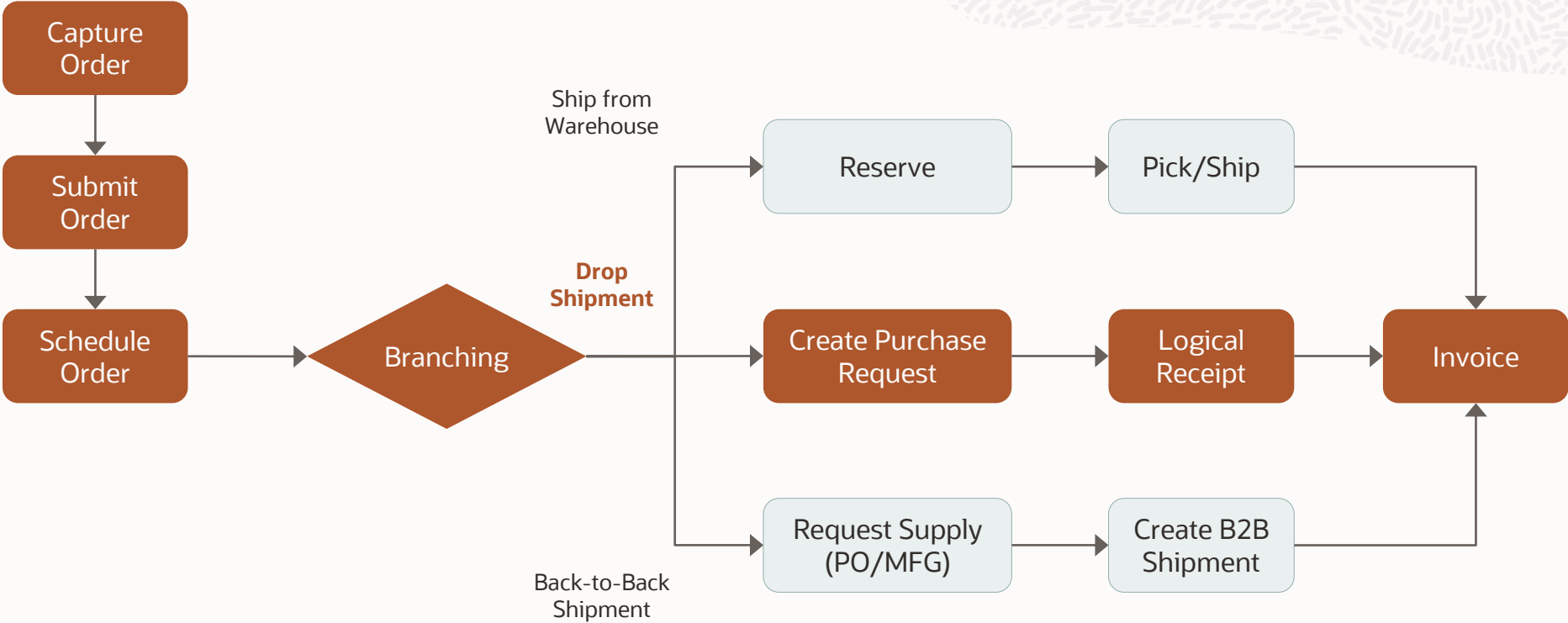
Drop Ship Process





Q. What type of items cannot be drop shipped?

Order to Cash Process – Advanced Fulfillment



Standard Order	Scheduling Result = Internal Warehouse	Back-to-Back Enabled = No
Drop Shipment	Scheduling Result = Supplier	
Back-to-Back	Scheduling Result = Internal Warehouse	Back-to-Back Enabled = Yes





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Application setups for Drop Ship fulfillment

The Drop Ship flow runs across multiple Oracle SCM Cloud applications. Hence, the set ups that support the Drop Ship flow are also spread across multiple applications. Some of these set ups can be performed in the Functional Set up Manager (FSM), while certain others are accessible only through application-specific setup screens.

Cloud Applications Involved	Key Setups
- Product Information Management - Global Order Promising - Order Management - Procurement - Inventory Management	1. Manage Items 2. Manage Sourcing Rules 3. Manage Drop Ship Financial Flows 4. Mange Order Management Parameters 5. Manage Suppliers and Supplier Sites 6. Manage Agreements 7. Manage Orchestration Process Definitions



Drop Ship Setup Features

Offering

Order Management

- Maintain Common Reference Objects ☒
- Governance, Risk and Compliance ☐
- Local Installation of Help ☒
- Transformation Rules ☒
- Order Holds ☒
- Drop Ship** ☒
- Enterprise Structures Guided Flow ☐
- Application Toolkit Component Maintenance ☐
- Click To Dial ☐
- Custom Job Scheduler ☐

Feature that needs to be enabled

Offering

Procurement

- Governance, Risk and Compliance ☐
- Maintain Common Reference Objects ☒
- Centralized Procurement ☐
- Enterprise Structures Guided Flow ☐
- Requisitions ☒
- Master Items ☒
- Supply Chain Financial Orchestration of Procurement Flows ☒
- Customer Sales Order Fulfillment** ☒
- Local Installation of Help ☒
- Application Toolkit Component Maintenance ☐
- Click To Dial ☐
- Buyer Managed Transportation ☒
- Custom Job Scheduler ☐

Feature that needs to be enabled



Setup Tasks – Manage Items

Overview **Specifications** Item People Structures Attachments Associations Relationships Categories

Item Organization: Purchasing

Item

Transactional Attributes
Additional Attributes
Configurator Item Attributes

Item Revision

Additional Attributes

Item Organization

Manufacturing
Service
Inventory
Physical Attributes
Sales and Order Management
Planning
Purchasing

Purchasing

Purchased Yes

Use Approved Supplier No

Negotiation Required

Input Tax Classification Code

Unit of Issue

Invoice Close Tolerance Percentage

Hazard Class

Asset Category

Pricing

List Price 100

Price Tolerance Percentage

Market Price

Purchasable Yes

Allow Purchasing Document Description Update Yes

Taxable Yes

Default Buyer

Receipt Close Tolerance Percentage

UN Number

Rounding Factor

Item must be Purchasable in requisition organization.

List price must be defined if there is no blanket agreement.



Setup Tasks – Manage Sourcing Rules

Edit Sourcing Rule: DOO-DS-Rule

Save

Cancel

Name

DOO-DS-Rule

Description

DOO Dropship Rule

Organization Assignment Type

Global

Organization

✓

Planning active

Sourcing Rule Effective Dates

Actions

View

+

×

Detach

Start Date

End Date

12/7/11

Source Types

Source

Supplier details with Buy From source type.

Type	Organization	Supplier	Supplier Site	Supplier Site Source System	Allocation Percentage	Rank	Shipping Method
Transfer from	D1				100	2	
Buy from		GOPDS-S	GOPDSSI	GPR	100	1	

Sourcing rule must be type Global.

Source Types

Source

Supplier details with Buy From source type.



Setup Tasks – Manage Drop Ship Financial Flows

Drop Ship Financial Flow: DropShipFlow_VisOp

Save

Save and Close

Cancel

Actions

7/10/15 - Current

Name

DropShipFlow_VisOp

Effective Start Date

7/10/15

Effective End Date

9/17/17

Status

Active

Description

Supplier Ownership Change Event ASN from supplier

Priority

1

Financial Orchestration Qualifier

Selling BU to Receiving BU Relationships

Actions

View

Format

+

+

+

+

Detach

Wrap

Line	* Selling BU	Selling Legal Entity	* Receiving Trade Organization	Receiving BU	Receiving Legal Entity	Requisition BU	* Effective Start Date	Effective End Date
1	Vision Operations	Vision Operations	Vision Operations	Vision Operations	Vision Operations	Vision Operations	7/10/15	9/17/17

Controls communication of ownership change.

Association between Selling BU and Receiving Trade Organization



Setup Tasks – Manage Order Management Parameters

The screenshot shows the 'Manage Order Management Parameters' window. The 'General' tab is selected. A table lists various parameters. The 'Preparer for Procurement' parameter is highlighted with a red box. A callout points to the table header, stating: 'Task where Preparer for Procurement attribute is set up.' Another callout points to the 'Preparer for Procurement' row, stating: 'Parameter required for sending purchase requests to Procurement.'

Manage Order Management Parameters [Save] [Save and Close] [Cancel]

General Pricing

Parameter Name	Parameter Description
Customer Relationship Type	Indicates whether a customer is a single customer or has related customers.
Halt Configurator Validation on First Error	Indicates if Configurator validation fails on the first error or completes to report all errors.
Item Validation Organization	Indicates the Oracle Inventory organization that items are validated and viewed against
Preparer for Procurement	Indicates worker information for Oracle Fusion Procurement, specific to drop ship and back-to-back orders.
Use Configurator for Order Import Validation	Indicates whether Configurator validation is to be executed on imported orders that include configurations.

Preparer for Procurement: Values

+ -

* Business Unit: Vision Operations

Preparer Name: LOG_WHSE_MGR_M1, L

Setup Tasks – Manage Suppliers and Supplier Sites

OverviewManage Suppliers xSupplier: DS_BVT_Supplier1 x

Edit Site: DS_BVT1_Site1

Procurement BUVision Operations

Address NameDS-BVT-Sup1

AddressNew York,Street 1,NEW YORK, NY 10001

* SiteDS_BVT1_Site1

Inactive Date

StatusActive

* Site Purpose

☐ Sourcing only

☒ Purchasing

☐ Procurement card

☒ Pay

☐ Primary pay

AttachmentsNone +

SaveSave and CloseCancel

GeneralPurchasingReceivingInvoicingPaymentsSite AssignmentsQualifications

ActionsViewFormat+XAutocreate AssignmentsFreezeDetachWrapStatusActive

* Client BU	* Bill-to BU	Ship-to Location	Bill-to Location	Use Withholding Tax	Withholding Tax Group	Liability Distribution
Vision Operations	Vision Operations			☐		

Identifies the function this site provides to the client business units.

Site can be used for purchasing for this requisitioning business unit.



Setup Tasks – Manage Agreements

Define agreement of style Blanket Purchase Agreement.

Overview Manage Agreements x Blanket Purchase Agreement: 1003256 x

Blanket Purchase Agreement: 1003256 Social View PDF Actions Done

Main Controls

Business Unit Access

Actions View Format Freeze Detach Wrap

Requisitioning BU	Order Locally	Purchasing Site	Ship-to Location	Bill-to BU	Bill-to Location	Enabled
Vision Operations	—	DS_BVT1_Site1	V1 - Vision Operations	Vision Operations	V1- New York City	✓

Automatic Proc Automatic Processes

Order Creation Options

- ☒ Automatically generate orders
 - ☒ Automatically submit for approval
- ☒ Group requisitions
 - ☒ Use customer sales order
- ☐ Group requisition lines
 - ☐ Use requested date
 - ☐ Use ship-to organization and location

Retroactive Pricing

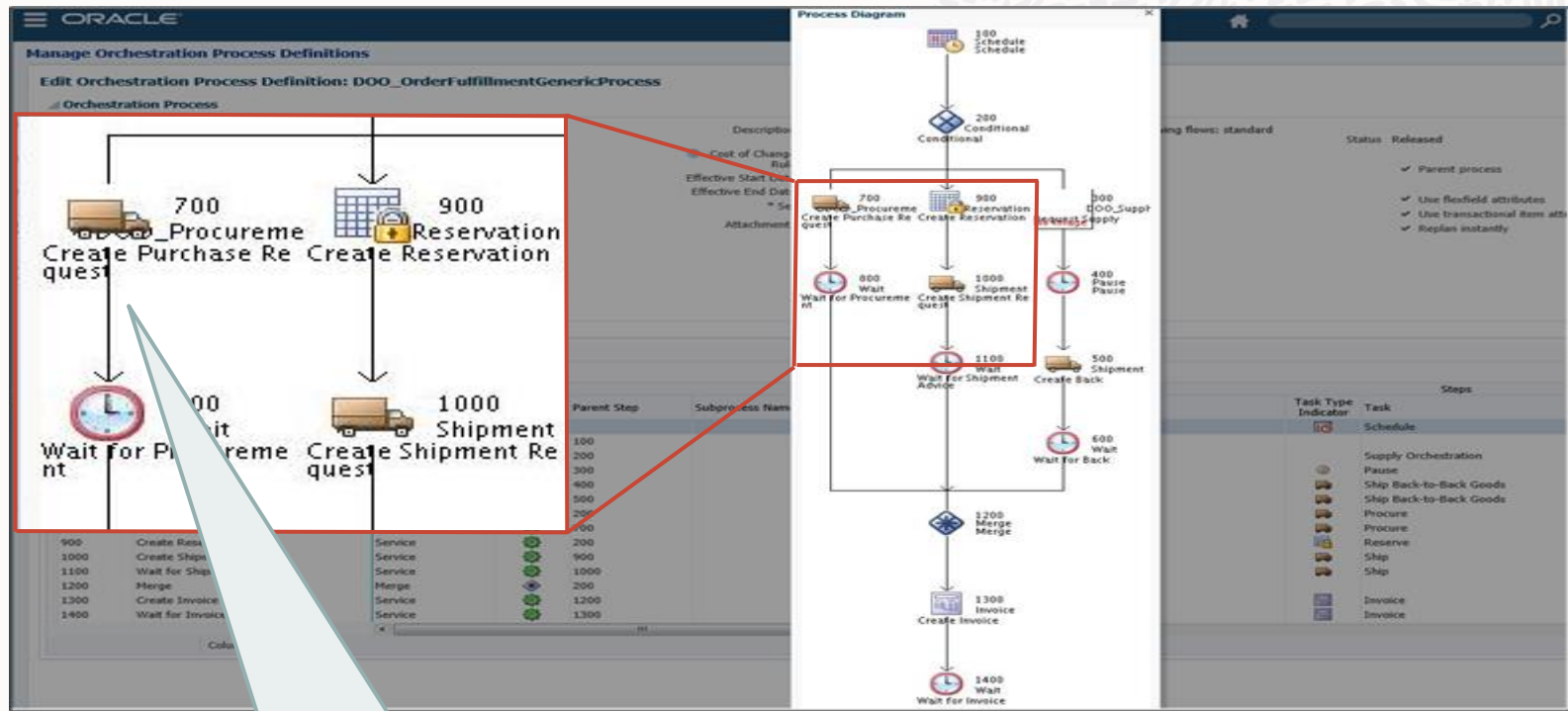
- ☐ Enable retroactive pricing
- ☐ Initiate process upon agreement approval
- ☐ Reprice open orders only

Enable to automate purchase order creation from requisition and submission for approval.

Customer Sales Order grouping option



Setup Tasks – Manage Orchestration Process Definitions



Conditional Branch for Drop Ship



Setup Tasks – Generate Shipping Documents for Drop Ship

- Receiving Parameters > Print shipping documents for drop ship orders

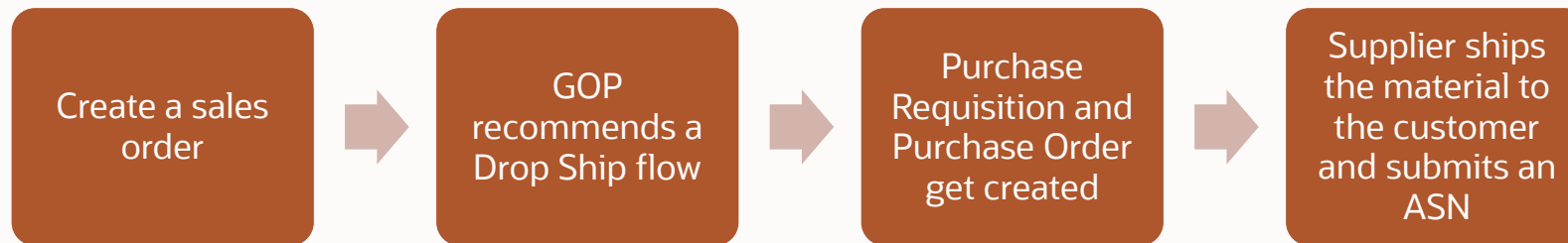
Manage Receiving Parameters Inventory Organization 003 [Change Organization](#) [Save](#) [Save and Close](#) [Cancel](#)

General ?

Ship-to Exception Action	Warning	☐ Enforce blind receiving
ASN Control Action	Warning	☐ Print receipt traveler
Early Receipt Tolerance in Days	60	☐ Include closed purchase orders for receipts
Late Receipt Tolerance in Days	60	☐ Allow routing override
* Receipt Days Exceed Action	None	☐ Process all lines together
Over-Receipt Tolerance		☐ Print shipping documents for returns to suppliers
* Over-Receipt Action	None	☒ Print shipping documents for drop ship orders
* Receipt Routing	Direct delivery	☐ Print shipping documents for return material authorizations
	☐ Use quality inspection plan	☐ Publish transactional business events
	☐ Allow substitute receipts	☐ Allow defaulting of lots and serial numbers from ASN

Create the shipment for a drop ship order after the supplier creates the ASN for the drop ship order

Application Demo



Drop Ship – Change Management



Business Scenario	Change Allowed?
Change in OM after PR is created, but before the PO is created	
Change in OM after PO is created, but not yet shipped	
Change in OM after entire quantity is shipped by the supplier	
Change in OM if partial quantity is shipped by the supplier	



Drop Ship – Change Management

Business Scenario	Change Allowed?
Change in OM after PR is created, but before the PO is created	No (only cancellation is allowed)
Change in OM after PO is created, but not yet shipped	Yes (change is propagated to Procurement)
Change in OM after entire quantity is shipped by the supplier	No
Change in OM if partial quantity is shipped by the supplier	No (only cancellation of remaining quantity is allowed)



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Implementation Considerations/Tips

Integration with Procurement	General Information
• Use attachments to pass data to Procurement (E.g., Shipping Instructions) • Use Service Mappings to map custom attributes between OM and Procurement • Do not use ship sets to group sales order lines into purchase orders • Setup Procurement to create POs automatically or create them manually using the Document Builder	• Setup Ownership Change based on your business process • ASN from Supplier • AP Invoice Match • Returns directly to the Supplier are currently not supported (warehouse returns are supported) • Drop ship flow cannot be used with a third-party Procurement application.

Drop Ship – Oracle Support Master Note:

<https://support.oracle.com/epmos/faces/DocContentDisplay?id=2664890.1>



New/Upcoming Features – Drop Ship

Feature	Release
Validate Advanced Shipment Notices in Drop Ship Flows	21C
Create and Fulfill Sales Orders in Dual Units of Measure in Your Drop Ship Flows	21D



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